I mentioned the book score of +2 earlier. If I sold at the ultimate high on the first trade, I would have made 63%, handily beating the 44% average rise suggested in the book. In other words, the scoring system worked for this trade, predicting a good shot of reaching the average 44% rise (if I hadn't sold too soon, that is).

I sold because of the downward breakout from the descending triangle, but the triangle turned into a 5% failure when price resumed rising. It was a risk to hold onto the stock longer, so I think I made the correct sell decision even though the stock made a substantial rise after I sold.

- Lesson: Sometimes trading well is more important than making money. If you trade well, money will often follow (it prevents bad habits from forming that can cause big losses).

Sample Trade

Lauren is a schoolteacher. Although she loves teaching kids, she would much prefer raking in the dough by trading stocks over the Internet. Until that time, she shoehorns her investment activities into the few hours of free time she has each week.

"When I spotted the double bottom shown in **Figure 27.6**," she placed her hand over her heart and said, "I knew it was love at first sight."

The rounding bottom pattern (from point A to the breakout) suggested higher highs were in store. However, she resisted the temptation to get in early because she could not guarantee price would continue moving up. She justified her action by pretending that she was teaching her students how to trade. If she could not do it properly, how could they?

"The stock climbed to the confirmation price for the double bottom and I was ready to buy. However, when my broker read off the current quote, it had soared well above the confirmation price. So I decided to wait and pray for a throwback."